

- c. Above average
- d. Well above average

Test Results Analysis

Question 1: People whose response indicates that their keen eye for investments is alive and well are likely to suffer from self-attribution bias. This is so because an investment success in this case was due not to good decision making, but to good luck.

Question 2: Attributing financial success to skill tends to indicate susceptibility to self-attribution bias.

Question 3: Investors who roll over their money immediately without carefully plotting their next move are, often, disproportionately attributing their successes to their own market savvy. Therefore, they are likely to suffer from self-attribution bias.

Question 4: Investors who rate themselves as “above average” or “well above average” in skill are likely to suffer from self-attribution bias.

ADVICE

Recall again the old Wall Street adage that perhaps provides the best warning against the pitfalls of self-attribution bias: “Don’t confuse brains with a bull market.”

Often, when financial decisions pan out well, investors like to congratulate themselves on their shrewdness. When things don’t turn out so profitably, however, they can console themselves by concluding that someone or something else is at fault. In many cases, neither explanation is entirely correct. Winning investment outcomes are typically due to any number of factors, a bull market being the most prominent; stocks’ decline in value, meanwhile, can be equally random and complex. Sometimes, the fault does lie in arenas well beyond an investor’s control, such as fraud or mismanagement.

One of the best things investors can do is view both winning and losing investments as objectively as possible. However, most people don’t take the time to analyze the complex confluence of factors that helped them realize profit or to confront the potential mistakes that aggravated a loss. Postanalysis is one of the best learning tools at any investor’s disposal. It’s understandable but, ultimately, irrational to fear an examination of one’s past mistakes. The only real, grievous error is to continue to succumb to overconfidence and, as a result, to repeat the same mistakes!